

2010 01 25 Study Session

LAKEWOOD CITY COUNCIL STUDY SESSION MINUTES

Monday, January 25, 2010
City of Lakewood
City Council Chambers
6000 Main Street SW
Lakewood, WA 98499

CALL TO ORDER

Deputy Mayor Anderson called the meeting to order at 7:02 p.m.

ROLL CALL

Councilmembers Present: 6 ? Deputy Mayor Don Anderson; Councilmembers Mary Moss, Mike Brandstetter, Claudia Thomas, Jason Whalen and Walter Neary.

Councilmember Excused: 1 ? Mayor Douglas Richardson (arrived at 7:50 p.m.).

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Deputy Mayor Anderson called on Dr. Pat Cavendish of Pierce College, who then introduced two students from the Newly Independent States from former USSR.

ITEMS FOR DISCUSSION:

Review of the proposed CDBG Economic Development program.

Economic Development Manager Chambers-Grady reviewed the proposed CDBG economic development program to provide small business loans to create jobs for low-income individuals.

Suzanne Tessaro, Operations Manager of Community Capital Development (CCD) and Linda Jadwin, Director of the South Sound Women's Business Center (SSWBC), provided background information about the agencies and workshops they provide to entrepreneurs.

Discussion ensued about how the CCD and SSWBC work with banks and credit unions for providing loans; how do their loan program compliment the Small Business Administration loan program; how is the \$75,000 CDBG and \$75,000 CCD funds going to be handled as money is repaid and how are the funds accounted for; what is the minimum amount of time should the City contract with CCD and SSWBC; will the administrative fee for service be constant over a five-year contract, as proposed; where does the \$75,000 matching funds come from; must businesses be located in Lakewood; what happens if a business starts in Lakewood and then moves out of Lakewood; is there any privacy component to which businesses received loans; what businesses have benefited from small business loans by the SSWBC.

Further discussion ensued on the high cost of administration by providing \$25,000 of the \$100,000 allocation (25 percent) for administering \$75,000 of CDBG loans in addition to 20 percent of the CDBG allocation for the administration of the total CDBG program; is this loan proposal the best utilization of CDBG funds for economic development; would infrastructure improvements such as sewer connections to Tillicum business in creating jobs be eligible as an economic development activity; what businesses are not able to obtain loans due to their inability to meet regulatory leveraging requirements; and noting that the CDBG Citizens Advisory Board (CDBG/CAB) meeting minutes indicates that the CDBG/CAB is asking that the Board and the Council have a clear understanding of the program provisions that would fall within the CDBG requirement parameters and identify what constitutes the City parameters.

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Mayor Richardson arrived at 7:50 p.m.

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Speaking before the Council was:

Dennis Haugen, Lakewood resident, expressed concern about using CDBG funding for loans and reducing credit standards for such loans.

Review of the proposed financial policies.

Assistant City Manager Halladay reviewed three proposed financial policies for Council's consideration: writing off uncollectible accounts receivable debt, authorizing payment plans for outstanding accounts receivables, and authorizing short term interfund loans.

Discussion ensued about ensuring that writing off uncollectible debts and interfund loans are monitored for State and audit compliances.

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Speaking before the Council was:

Dennis Haugen, Lakewood resident, spoke about establishing a policy with the City Manager in developing a due process for acquisition of real estate.

BRIEFING BY THE CITY MANAGER

City Manager Neiditz reported that the Joint Ft. Lewis and McChord planning meeting last week was successful.

City Manager Neiditz announced that the Association of Washington Cities Legislative Action Conference will be held on Wednesday, January 27, 2010, in Olympia and that the Council may still register for the conference.

City Manager Neiditz reported that there will be Legislative hearings on the Public Records Bill, the Bill on automated traffic cameras and the gambling bill on January 26 and 27, 2010.

City Manager Neiditz asked Assistant City Manager Halladay to distribute the 2009 fourth quarter financial report. Assistant City Manager Halladay provided an overview of the report describing revenues and expenditures for the quarter.

ITEMS TENTATIVELY SCHEDULED FOR THE FEBRUARY 1, 2010 REGULAR CITY COUNCIL MEETING:

1. Authorizing the write-off of outstanding uncollectible accounts receivables and implementing payment plans for outstanding accounts receivables. ? (Ordinance ? Regular Agenda)
2. Authorizing short-term interfund loans to comply with State law and Governmental Accounting standards. ? (Resolution ? Regular Agenda)
3. Proclamation declaring the months of February through April 2010 as Pierce County Reads. ? *Mr. David Durante, Lakewood Branch Manager, Pierce County Library System*
4. Appointing individuals to serve on the Planning Advisory Board. ? (Motion ? Regular Agenda)

CITY COUNCIL COMMENTS

Councilmember Moss announced that she will not be attending the February 1, 2010 Council meeting.

Councilmember Brandstetter reported that he will not be able to testify before the Legislature on the gambling bill and that the Council is not completely of one-mind as of yet.

Councilmember Whalen commented on the Pierce County Regional Council meeting he attended and that he will be attending the Puget Sound Regional Council on economic development.

Councilmember Whalen announced that the Pierce County Regional Council's General Assembly meeting will be held on February 16, 2010 at Bates Technical College, at 6:00 p.m.

Deputy Mayor Anderson commented on the news he received on Facebook about Lt. Colonel Norris' meeting with Vice President Biden in Iraq before the News Tribune article.

Councilmember Thomas asked for an update on efforts about opposing the Pt. Defiance Bypass project. Mayor Richardson asked that the Resolution the Council adopted be sent to the Congressional delegation.

Mayor Richardson indicated that he will be traveling the next few days.

ADJOURNMENT

There being no further business, the meeting adjourned at 8:50 p.m.

DOUGLAS G. RICHARDSON, MAYOR

ATTEST:

ALICE M. BUSH, MMC

CITY CLERK